

12 March Cash Results and Settlement Follow-up

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Prepared by Fictional borrower treasury team | Borrower: Duolingo Learning Services LLC

SYNTHETIC DEMO. All events, figures and confirmations below are invented. Duolingo Learning Services LLC has no asserted affiliation, financing or guarantee from Duolingo Inc.

Measurement and delivery

Cash measurement date: March 31, 2027. Prepared and delivered 2027-04-01 at 10 am New York time, after treasury received the month-end bank statement at 9 am that day. The displayed bank figures are actual cleared balances. The outlook section is a separate management forecast. This focused treasury supplement does not purport to be a complete monthly income statement or a trailing-twelve-month earnings schedule.

Payment evidence and actual bank position

The processor ledger records all four additional holdbacks: \$4.0m on March 5, \$4.0m on March 12, \$2.0m on March 19 and \$2.0m on March 26. None had been released by March 31. They total \$12.0m after processing fees. Total settlement receivables are \$18.0m: the \$6.0m ordinary balance used in the earlier model plus \$12.0m newly withheld. No amount is counted twice.

The March 31 bank statement records \$25.5m of cleared deposits. The existing restricted deposit remains \$4.0m, leaving \$21.5m freely available for operating obligations. The \$18.0m owed by the processor is not in these bank deposits. Debt principal is still \$60.0m. The \$0.45m monthly interest payment was made on March 31.

Cash bridge - USD millions

Other net cash movement summarizes cleared operating receipts less operating payments, interest, cash tax and capital expenditure before the new holdbacks. Holdbacks reduce actual cash receipts; they are not a second bank withdrawal. They do not reduce revenue or create an additional processing expense.

Month-end	Opening cash	Other net cash movement	New holdbacks	Closing cash
2027-02-28	36.8048	-1.1048	0.0000	35.7000
2027-03-31	35.7000	-2.2000	12.0000	21.5000

Opening cash plus other net cash movement less the separately identified cash reductions equals closing cash. Values use full precision before display rounding. The final bank reconciliation is \$25.5000m total cleared cash less \$4.0000m restricted deposits, leaving \$21.5000m freely available for operating obligations. No other entity's funds, inventory, receivables or undrawn facilities are included.

Remaining obligations and updated outlook

The processor reconfirmed June 4 as the release date on March 30 and declined an interim payment. No early cash release or new financing has been obtained. All receipts from the vendor credits and savings from the canceled campaign in report 09 are already included in the treasury forecast; there is no unused second benefit from either measure.

The June estimate includes release of the same \$12.0m receivable once. If that release does not occur by June 30, projected June cash is \$25.3m instead of \$37.3m. This is a timing sensitivity, not an additional loss already incurred. The processor notice has not changed subscription revenue recognition or the number of paid accounts.

Future month-end	Forecast freely available cash
2027-04-30	22.9000
2027-05-31	24.3000
2027-06-30	37.3000